4. Write short notes on:
   (a) Endorsement of a bill and
   (b) Discounting of a bill

IV Exercises

1. Enter the following transactions in the Purchases book of M/s. Subhashree Electric Co., which deals in electric goods.

   2017

   April 5 Purchased from Karthik Electric Co., on credit
   10 Electric iron box @ ₹ 2,500 each
   5 electric stoves @ ₹ 2,000 each

   April 19 Purchased on credit from Khaitan Electric Co.,
   3 electric heaters @ ₹ 6,000 each

   April 25 Purchased from Polar Electric Co., on credit
   10 Fans @ ₹ 2,000 each

   April 29 Purchased from M & Co. for cash
   10 electric stoves @ ₹ 3,000 each

   (**Answer:** Purchases A/c. (Dr.) ₹ 73,000)

2. From the following transactions write up the Sales day book of M/s. Ram & Co., a stationery merchant.

   2017

   Jan. 1 Sold to Anbu& Co., on credit 20 reams of white paper @ ₹ 150 per ream
   Jan. 2 Sold to Jagadish& Sons on credit 6 dozen pens @ ₹ 360 per dozen
   Jan. 10 Sold old newspapers for cash @ ₹ 620
   Jan. 15 Sold on credit M/s. Elango& Co., 10 drawing boards @ ₹ 170 per piece
   Jan. 20 Sold to Kani & Co., 4 writing tables at ₹ 1,520 per table for cash

   (**Answer:** Sales A/c (Cr.) ₹ 6,860)

3. Prepare Purchases book and Sales book in the books of Santhosh Textiles Ltd., from the following transactions given for April, 2017.

   2017

   April 1 Purchased goods from Prasad, Kancheepuram on credit
   100 meters Silk @ ₹ 450 per meter
   75 meters Velvet @ ₹ 180 per meter

   April 10 Sold goods to Rathinam, Chennai on credit
   60 meters Silk @ ₹ 490 per meter
   50 meters Velvet @ ₹ 210 per meter

   April 18 Nathan & Sons purchased from us on credit
   100 meters Silk @ ₹ 510 per meter

Accountancy - Unit-06.indd 122 12/12/2021 6:15:44 PM